

ETFs. To harvest a loss, you sell the funds in the portfolio that are down for the year. You then replace them with a similar fund. The realized gains in the portfolio can then be offset (in part) by that loss. Done right, it can reduce capital gains tax costs in an average year by 20–30 basis points (100 basis points equals 1%) of the portfolio’s value. Some years more, some years less. About 40–50 bps is considered a good year in tax loss harvesting.

DI is vastly superior to mutual fund TLH for several reasons:

- The potential pool of tax loss choices number in the hundreds of individual stocks, not 10–15 funds.
- Market volatility creates numerous opportunities to capture losses.
- Even in years when markets are up big, a substantial percentage of stocks will be down.
- Granularity allows a very targeted approach.^{[422](#)}
- DI allows investors to “access all the losses” that fund owners cannot.

That last point is the most significant aspect of DI loss harvesting.

Consider these details about equities in general and mutual funds in particular: We discussed previously that most portfolio gains come from a relatively small handful of outsized winners. Depending on your preferred academic study, it can be as much as 4% or as little as 1.3%. In a portfolio of 100 stocks, a handful will account for most of your gains. The rest of your positions average out to flat, that is winners offset by losers.

Herein lies the huge advantage of DI over ETFs and mutual funds: *Accessing losers that would otherwise net out to zero.*

The performance of any fund or index is the sum of its individual holdings’ gains and losses. Quarterly or yearly performance is simply the average of the capital invested in the winning positions minus the capital invested in